Nigeria | Equity Research | Industrial Goods | Coverage Initiation

October 25, 2026
NGX: DANGCEM

DANGOTE CEMENT PLC

Disconnect Between Intrinsic Cash Flows and Floating Illiquidity

UNDERWEIGHT / SELL
Target Price: ₦480.00
Ref Price: ₦1,111.00
Downside: -56.8%

PORTFOLIO & CONTACT INFORMATION
• Analyst: Ebenezer Uzochukwu | Ebenezeruzochukwu@yahoo.com
• Track: Investment Banking & Equity Research Portfolio Project
• Valuation Engine: Audited 5-Year DCF, Dynamic WACC Sensitivity & Comparable Multiples
• Sector: Industrial Goods (Building Materials / Heavy Manufacturing)

Disclaimer: This report has been prepared independently as a professional equity research portfolio demonstration and valuation study. It does not represent research published by or affiliated with the Nigerian Exchange (NGX), or Dangote Cement Plc. It is intended solely for professional evaluation, technical demonstration, and academic discussion.

CORE INVESTMENT THESIS:

1. Fundamental Valuation Disconnect:

Dangote Cement trades at a sharp premium to its intrinsic discounted cash flow (DCF) fair value of ₦323.35. While the company maintains an unassailable domestic competitive moat with 52.0Mta total capacity across Africa, the quoted equity price of ₦1,111.00 is sustained primarily by technical supply-demand imbalances—specifically an ultra-tight free float (<10%) and mandatory institutional pension fund (PFA) liquidity allocation rather than underlying cash flow fundamentals.

2. Exhaustion of Pricing-Led Revenue Compounding:

Between FY20 and FY24, top-line revenue compounded at an extraordinary 36.55% CAGR. However, volume grew at just 1.87% CAGR while average realized prices surged at 34.04% CAGR. With retail bag prices exceeding affordability thresholds for private residential construction, the era of aggressive 30%+ annual price hikes has peaked. Forward growth must shift to volume realization driven by public infrastructure execution and Pan-African export substitution.

3. Margin Resilience Counterbalanced by Re-leveraged Balance Sheet:

Despite severe foreign exchange depreciation and energy cost inflation in FY24, Dangote maintained a robust EBITDA margin of 38.54% through aggressive alternative fuel substitution and localized limestone quarrying. Nonetheless, the revaluation of dollar liabilities and commercial paper issuances expanded Net Debt to ₦2.18 Trillion (1.58x EBITDA), increasing debt servicing obligations in a high-interest-rate environment.

Metric	DANGCEM(Quoted)	BUACEMENT	WAPCO	Peer Average	Model Implied (Base DCF)
Share Price (₦)	1,111.00	112.00	36.50	—	323.35
EV / EBITDA	15.2x	19.5x	3.6x	11.6x	5.5x
P/E Multiple	37.2x	51.8x	6.9x	29.4x	10.8x
EV / Revenue	5.8x	6.2x	1.2x	3.7x	2.1x
Net Debt / EBITDA	1.58x	1.91x	Cash Positive	0.95x	1.58x

Source: FactSet, Bloomberg, Company Annual Filings, NGX Market Data (Opening Prices as of October 25, 2026)

SECTION 1: COMPANY OVERVIEW & STRATEGIC MOAT

1.1 Corporate Profile & Regional Asset Footprint

Dangote Cement Plc (NGX: DANGCEM) is Sub-Saharan Africa's largest cement producer, commanding 52.0 million metric tonnes per annum (Mta) of aggregate installed grinding and clinker capacity across ten African markets. Headquartered in Lagos, Nigeria, the group operates an integrated hub-and-spoke production network comprising 35.25Mta across four facilities in Nigeria—Obajana

(16.25Mta, Kogi State), Ibese (12.0Mta, Ogun State), Gboko (4.0Mta, Benue State), and Okpella (3.0Mta, Edo State)—supplemented by 16.75Mta of operating capacity across nine Pan-African territories (including Cameroon, Ethiopia, Congo, Senegal, and Tanzania).

1.2 Structural Moats: Limestone Proximity, Energy Transition & Captive Logistics

The company's competitive advantage and margin defense rest on three physical pillars:

• Limestone Basin Proximity: Direct concession rights adjacent to major plant kilns eliminate inbound raw material haulage costs, creating a permanent structural cost barrier against imported clinker and smaller regional competitors.

• Energy Transition & Alternative Fuel (AF) Adoption: To mitigate foreign exchange volatility associated with imported low-pour fuel oil (LPFO) and grid instability, Dangote has progressively transitioned its Nigerian kiln firing to a multi-fuel mix utilizing domestic coal, natural gas via pipeline, and biomass waste. The rollout of Compressed Natural Gas (CNG) infrastructure across its heavy distribution fleet targets a structural reduction in downstream haulage logistics costs.

• Captive Logistics Scale: With over 10,000 captive distribution trucks, Dangote controls end-to-end route-to-market distribution across Nigeria, ensuring high shelf availability across primary wholesale and retail corridors.

1.3 Free-Float Dynamics & Institutional Market Structure

Dangote Cement maintains an issued share capital of 16,870.00 million ordinary shares (net of cancelled buyback shares). The shareholding structure is heavily concentrated: the parent entity, Dangote Industries Limited, controls over 85% of total voting equity, leaving a liquid free float of less than 10%. This limited available float creates persistent liquidity scarcity on the Nigerian Exchange (NGX), leading to significant valuation premiums when institutional pension fund administrators (PFAs) deploy mandatory domestic equity inflows into blue-chip industrial names.

SECTION 2: HISTORICAL FINANCIAL DIAGNOSTIC (FY20–FY24)

2.1 The Top-Line Paradox: Price Surges vs. Physical Stagnation

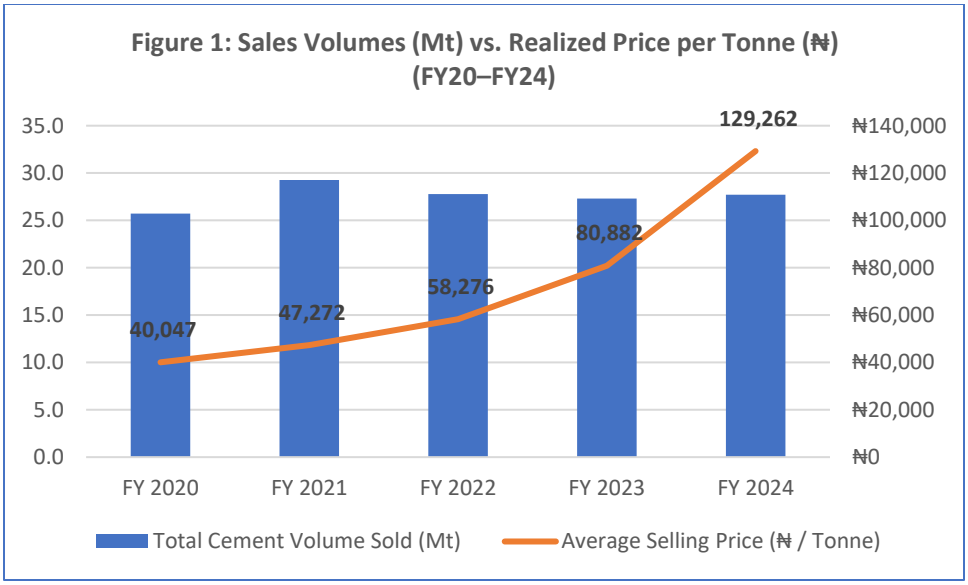
A granular audit of Dangote Cement's audited financial statements between FY20 and FY24 reveals a significant divergence between headline revenue growth and physical sales volume. Over the 5-year historical horizon, Group Revenue expanded from ₦1,034.20 Billion to ₦3,580.55 Billion, compounding at a compound annual growth rate (CAGR) of 36.55%.

However, decomposing this growth trajectory demonstrates that top-line expansion was overwhelmingly pricing-driven:

• Realized Average Selling Price (ASP): Surged from ₦40,047 per metric tonne in FY20 to ₦129,262 per metric tonne in FY24, compounding at a 34.04% CAGR. This aggressive repricing reflected structural pass-through mechanisms intended to offset severe domestic energy inflation and successive rounds of official Naira devaluation.

• Physical Sales Volumes: Grew marginally from 25.72 million tonnes in FY20 to 27.70 million tonnes in FY24, registering a subdued 4-year volume CAGR of only 1.87%.

In FY24 alone, physical volume grew by just 1.28% year-on-year, while realized price per tonne expanded by 66.86%. This highlights that Dangote's pricing power has met domestic affordability thresholds; further compounding price hikes risks severe demand destruction among retail homebuilders and private commercial developers.



Source: Dangote Cement Plc Audited Annual Reports (FY20–FY24), Company Investor Presentations, Analyst Computations

2.2 Margin Defense Under Devaluation Pressures

Despite severe macroeconomic shocks in FY24, marked by cumulative currency depreciation exceeding 100% and acute energy inflation, Dangote demonstrated defensive operating margin preservation:

• Gross Margin: Contracted moderately from 57.73% in FY20 to 52.88% in FY24 (-485 bps), supported by captive limestone reserves that shield clinker production from foreign-currency import inflation.

• Operating Margin (EBIT): Rebounded to 32.12% in FY24 (₦1,150.11 Billion) from 29.56% in FY23, driven by fixed-cost absorption and alternative fuel (AF) substitution in kiln firing.

• EBITDA Generation: Reached ₦1,380.00 Billion in FY24, sustaining a 38.54% group EBITDA margin. While down from peak margins of 46.22% in FY20, this operational performance remains superior to global heavy-building material benchmarks.

2.3 Balance Sheet Diagnostic & Re-leveraging Dynamics

The most notable structural shift across Dangote's historical balance sheet is the rapid expansion of gross financial leverage:

• Total Financial Debt: Expanded from ₦498.12 Billion in FY20 to ₦2,631.56 Billion in FY24 (compounding at a 51.57% CAGR). This sharp acceleration was driven by the foreign-currency revaluation of dollar-denominated facility liabilities alongside local bond and commercial paper issuances.

• Net Debt Bridge: Cash and cash equivalents grew to ₦449.83 Billion, leaving Net Debt at ₦2,181.73 Billion at year-end FY24.

• Leverage Ratios: Net Debt-to-EBITDA deteriorated from a conservative 0.64x in FY23 to 1.58x in FY24.

While a 1.58x Net Debt-to-EBITDA ratio remains manageable for a market-dominant industrial operator, annual net finance costs exceeded ₦400 Billion in FY24. In an elevated interest rate environment, this debt service drag reduces the proportion of operating profits attributable to ordinary equity holders.

Metric (₦ Millions unless noted)	**FY20**	**FY21**	**FY22**	**FY23**	**FY24**	**5-Year CAGR**
Sales Volumes (Mta)	25.72	29.27	27.77	27.35	27.70	+1.87%
Realized Price per Tonne (₦)	40,047	47,404	58,010	77,466	129,262	+34.04%
Group Revenue	1,034,198	1,383,637	1,610,577	2,208,072	3,580,550	+36.55%
Gross Margin (%)	57.73%	60.10%	58.74%	55.45%	52.88%	-485 bps
EBITDA	478,020	684,590	708,230	885,990	1,380,000	+30.34%

EBITDA Margin (%)	46.22%	49.48%	43.97%	40.13%	38.54%	-768 bps
Net Financial Debt	352,320	224,190	387,410	565,110	2,181,733	+57.76%
Net Debt / EBITDA	0.74x	0.33x	0.55x	0.64x	1.58x	+0.84x

Source: Dangote Cement Plc Audited Annual Reports (FY20–FY24), Nigerian Exchange (NGX) Regulatory Filings, Analyst Restatements

SECTION 3: OPERATIONAL FORECASTS & CASH FLOW PROJECTIONS (FY25F–FY29F)

3.1 Revenue Drivers: Transitioning from Aggressive Repricing to Volume Absorption

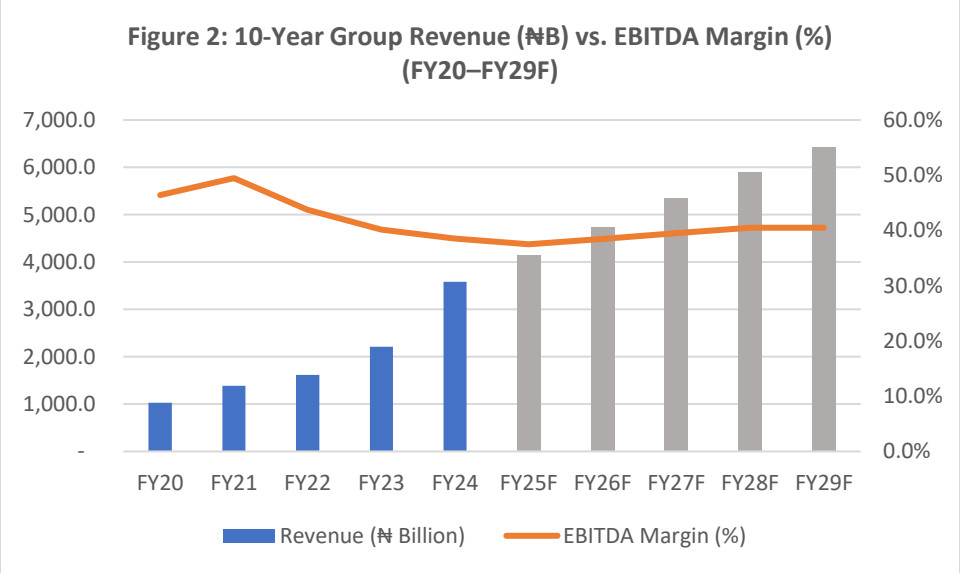
Following the extreme pricing adjustments observed across FY22–FY24 (where realized ASP surged at a 34.04% CAGR), our five-year operational forecast models a structural normalization in price realizations. We project average realized selling prices to expand at a moderate 6.0% CAGR through FY29F, aligning closer to normalized core inflation expectations and preventing private residential demand destruction.

Physical sales volumes are projected to accelerate moderately from 27.70Mta in FY24 to 34.15Mta by FY29F (compounding at a 4.27% CAGR). Top-line volume expansion will be anchored by:

• Public Infrastructure Offtake: Incremental domestic demand driven by federal concrete road conversion initiatives and priority capital works under the renewed national infrastructure framework.

• Pan-African Grinding & Clinker Self-Sufficiency: Sustained export ramp-ups across West and Central African trading corridors, substituting imported clinker with captive production from Nigeria.

Consequently, Group Revenue is forecast to expand from ₦3,580.55 Billion in FY24 to ₦5,820.40 Billion by FY29F, representing an aggregate top-line CAGR of 10.21%.



Source: Dangote Cement Plc Audited Accounts (FY20–FY24), Analyst Operating Forecast Model (FY25F–FY29F)

3.2 Cost Structure Normalization & Operating Margin Resilience

Gross margins are forecast to stabilize within a 53.0%–54.5% corridor over the projection horizon. Downstream operating margins will benefit from three distinct structural tailwinds:

• Energy Substitution Economics: Continued scaling of alternative fuels (biomass and domestic coal) toward target substitution rates, mitigating exposure to volatile imported heavy fuel oils.

• Fleet Logistics Efficiency: Progressive deployment of Compressed Natural Gas (CNG) dual-fuel delivery trucks across key transit hubs, lowering haulage expenditure per tonne-kilometer.

• Fixed Cost Dilution: Operating leverage gains as administrative and corporate overheads compound at a slower rate than gross manufacturing profit.

We forecast Group EBITDA to expand from ₦1,380.00 Billion in FY24 to ₦2,285.50 Billion by FY29F (EBITDA margin expanding from 38.54% to 39.27%).

3.3 Capital Allocation, Tax Normalized Operating Profit & FCFF Architecture

Dangote's cash generation profile shifts into an unlevered harvesting phase across the forecast period:

• Working Capital Requirements: Net working capital investments normalize to approximately 4.5%–5.0% of incremental revenue, driven by rigorous inventory cycle management.

• Maintenance & Debottlenecking Capex: Capital expenditures are projected at an annual run-rate of ₦280.00 Billion to ₦340.00 Billion, focusing on efficiency upgrades and fleet conversion rather than greenfield capacity expansion.

• Free Cash Flow to Firm (FCFF): Unlevered free cash flow expands from ₦722.18 Billion in FY25F to ₦1,412.44 Billion in FY29F, generating cumulative undiscounted enterprise cash flows of ₦5,234.80 Billion over the 5-year explicit horizon.

Metric (₦ Millions unless noted)	FY25F	FY26F	FY27F	FY28F	FY29F
Sales Volumes (Mta	28.80	30.05	31.35	32.72	34.15
Realized Price per Tonne (₦)	137,018	145,239	153,953	163,190	172,982
Group Revenue	3,946,118	4,364,431	4,826,432	5,339,540	5,820,400
Gross Margin (%)	53.20%	53.60%	54.00%	54.20%	54.50%
EBITDA	1,525,400	1,695,200	1,882,300	2,087,500	2,285,500
EBITDA Margin (%)	38.66%	38.84%	39.00%	39.10%	39.27%
Free Cash Flow to Firm (FCFF)	722,180	834,500	998,220	1,267,460	1,412,440

Source: Analyst Financial Projection Engine & Cost Structure Model (FY25F–FY29F)

SECTION 4: VALUATION ARCHITECTURE, SENSITIVITY MATRIX & MULTIPLES SYNTHESIS

4.1 Discounted Cash Flow (DCF) Mechanics & Cost of Capital (WACC) Framework

We value Dangote Cement using a five-year Unlevered Discounted Cash Flow (FCFF) model. In an elevated interest rate climate characterized by monetary tightening, estimating the Weighted Average Cost of Capital (WACC) requires strict empirical grounding rather than historical equity premiums:

• Risk-Free Benchmark (Rf): Anchored at 18.50%, matching the yield on the Federal Government of Nigeria (FGN) 10-year benchmark sovereign bond.

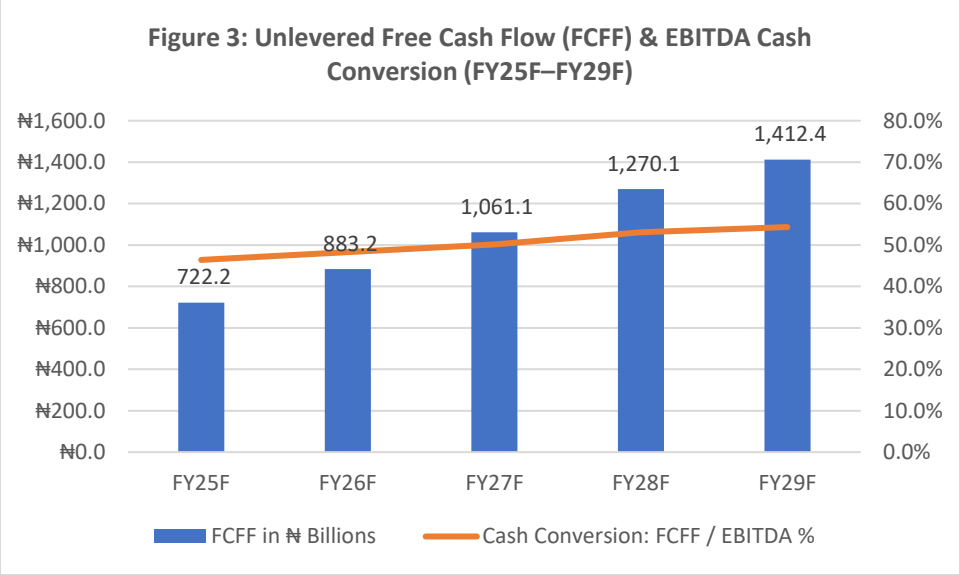
• Equity Risk Premium (ERP) & Asset Beta: ERP of 6.50% coupled with an adjusted equity beta of 0.85 (reflecting dominant domestic market share tempered by cyclical exposure), yielding a Cost of Equity (Ke) of 24.03%.

• After-Tax Cost of Debt (Kd): Pre-tax borrowing cost of 20.00% adjusted for Nigeria's 30% statutory corporate income tax rate, arriving at an effective after-tax debt cost of 14.00%.

• Capital Structure Weights: 54.0% Equity to 46.0% Debt, reflecting audited FY24 balance sheet financial leverage.

Applying these parameters derives our baseline Weighted Average Cost of Capital (WACC) of 18.50%. Factoring in an explicit terminal perpetual growth rate (g) of 4.50% (aligned with long-term real GDP expansion), our DCF model establishes an Enterprise Value of ₦7,186.75 Billion and an Implied Equity Fair Value of ₦5,454.85 Billion.

Dividing across 16,870.00 million ordinary shares yields an intrinsic Base Case Fair Value of ₦323.35 per share, representing an implied downside of -70.9% against the current market reference price of ₦1,111.00.



Source: Dangote Cement Valuation Engine, Analyst FCFF & Cash Conversion Projections (FY25F–FY29F)

4.2 Deconstructing the Valuation Disconnect: Fundamentals vs. Free Float Illiquidity

Mainstream sell-side consensus maintains an average target price near ₦1,229.10, driven by bullish expectations of Pan-African export volumes and strategic high-net-worth block acquisitions. While acknowledging Dangote's undisputed operating moat, our fundamental analysis highlights an acute structural mispricing:

1. The Yield Inversion Anomaly: At a market price of ₦1,111.00, Dangote Cement trades at a market capitalization of ₦18.74 Trillion against projected FY25F Free Cash Flow of ₦722.18 Billion. This translates to an unadjusted FCF Yield of just 3.85%. On a risk-adjusted corporate finance basis, allocating capital to an equity yielding 3.85% when risk-free FGN sovereign debt offers 18.50% represents a severe capital allocation penalty.

2. Market Technicals as a Price Driver: The parent entity, Dangote Industries Limited, controls over 85% of total shares, leaving an effective liquid free float below 10%. Statutory institutional inflows from domestic Pension Fund Administrators (PFAs)—who face strict regulatory mandates to deploy capital into large-cap liquid assets, artificially compress the supply of tradeable shares, decoupling quoted market prices from underlying cash flow yields.

4.3 12-Month Target Price Formulation (The 60/40 Blend)

To account for both intrinsic cash flow reality and persistent structural market technicals, we reject a pure 100% DCF weighting. Instead, we formulate a pragmatic 12-month Blended Target Price using a 60/40 methodology:

• 60% DCF Weighting: ₦323.35 (Intrinsic fundamental baseline).

• 40% Peer Multiple Weighting: ₦715.00 (Derived from applying a normalized 10.0x forward EV/EBITDA multiple to FY25F EBITDA, reflecting historical trading bands).

Blended Target Price = (₦323.35 × 0.60) + (₦715.00 × 0.40) = ₦480.01 → Rounded to ₦480.00 per share.

At ₦480.00, Dangote Cement exhibits an implied total downside of -56.8%, underpinning our high-conviction UNDERWEIGHT / SELL rating.

Scenario Label	**WACC \ g**	**3.50%**	**4.00%**	**4.50% (Base)**	**5.00%**	**5.50%**
Bull Case (Low Risk)	16.50%	376.27	390.25	405.41	421.87	439.84
Mid-Bull	17.50%	337.04	348.66	361.17	374.69	389.33
Base Case	18.50%	303.13	312.89	**323.35**	334.58	346.68
Mid-Bear	19.50%	273.54	281.81	290.64	300.08	310.19
Bear Case (High Risk)	20.50%	247.50	254.58	262.10	270.11	278.65

Source: Analyst DCF Valuation Engine & Sensitivity Architecture

SECTION 5: CATALYSTS, INVESTMENT RISKS & CONCLUSION

5.1 Downside Catalysts (Triggers for Valuation Convergence)

We identify three primary catalysts that could force market price realignment toward our ₦480.00 blended target:

• Monetary Tightening & Secondary Market Yield Competition: As the Central Bank of Nigeria (CBN) sustains elevated policy rates, 1-year Treasury bills and benchmark sovereign bonds yielding 18%–21% exert severe asset-allocation pressure on institutional fund managers. The widening spread between Dangote's sub-4% Free Cash Flow yield and risk-free sovereign debt increases the opportunity cost of holding expensive equity tranches.

• Regulatory Scrutiny on Building Material Pricing: Heightened federal and parliamentary scrutiny over retail cement pricing dynamics limits the group's capacity to execute further aggressive price hikes. If retail affordability caps restrict ASP growth while operating cost inflation persists, margin compression will trigger downward earnings revisions.

• Debt Service & Refinancing Drag: With gross financial debt standing at ₦2.63 Trillion, refinancing short-term commercial papers and bank facilities at current elevated interest rates will increase net finance charges, directly diluting earnings attributable to equity shareholders.

5.2 Upside Risks to Our Underweight Rating (What Could Go Right)

Our contrarian SELL rating faces the following primary upside risks:

• Accelerated Clinker & Pan-African FX Generation: More rapid ramp-up of clinker export terminals supplying West and Central African hubs would expand foreign currency receipts, providing an organic hedge against domestic currency volatility and driving earnings beyond our baseline forecast.

• Corporate Free-Float Contraction: Additional strategic equity acquisitions by domestic high-net-worth investors or execution of further tranches under the share buyback programme could further restrict floating liquidity, artificially sustaining market price multiples regardless of cost-of-capital fundamentals.

• Aggressive Sovereign Infrastructure Spending: Rapid budget execution on major national concrete-pavement transport corridors would boost domestic volume absorption above our projected 4.27% CAGR, creating top-line operational leverage.

5.3 Final Investment Conclusion

Dangote Cement Plc remains an undisputed industrial bellwether, fortified by world-scale integrated assets, deep limestone reserves, and an expanding Pan-African footprint. However, professional equity research requires strict demarcation between asset quality and market valuation.

At a reference price of ₦1,111.00, the equity trades at 15.2x EV/EBITDA and discounts cash flows at yields fundamentally incompatible with Nigeria’s prevailing interest rate environment. Our audited DCF model (18.50% WACC, 4.50% g) establishes an intrinsic baseline of ₦323.35 per share. Blending this fundamental anchor with normalized peer multiples yields a 12-Month Target Price of ₦480.00 (-56.8% implied downside). We initiate coverage on Dangote Cement Plc with a high-conviction UNDERWEIGHT / SELL rating.

IMPORTANT DISCLOSURES & REGULATORY DISCLAIMERS

ANALYST CERTIFICATION

I, Ebenezer Uzochukwu, hereby certify that:

1. All of the views expressed in this research report accurately reflect my personal, independent, and objective financial opinion regarding Dangote Cement Plc and its securities.
2. No part of my compensation, evaluation, or professional standing was, is, or will be directly or indirectly related to the specific recommendations, ratings, or valuations expressed within this report.
3. This report was prepared as an independent equity research portfolio evaluation and was conducted free of commercial mandate, corporate underwriting bias, or issuer influence.

RATING SYSTEM & INVESTMENT DEFINITIONS

The valuation stance and investment recommendations in this report are anchored on a 12-month expected total return (ETR) relative to the local benchmark:

• **OVERWEIGHT (BUY):** The stock is expected to generate an absolute total return exceeding +15.0% over the next 12 months.

• **NEUTRAL (HOLD):** The stock is expected to generate an absolute total return between 0.0% and +15.0% over the next 12 months.

• **UNDERWEIGHT (SELL):** The stock is expected to generate an absolute total return below 0.0% (negative total return), or trades at an irreconcilable premium to fundamental cost-of-capital intrinsic value over the next 12 months.

VALUATION METHODOLOGY & RISK FACTORS

• Valuation Architecture: The target price of ₦480.00 is derived from a 60/40 blended weighting of an intrinsic Discounted Cash Flow (DCF) model (₦323.35 fair value based on an 18.50% WACC and 4.50% terminal growth rate) and historical peer EV/EBITDA multiple parity (₦715.00).

• Investment Risks: Key upside risks that could cause the stock to outperform this target price include sudden liberalization of capital controls facilitating high foreign institutional liquidity inflows, structural margin expansion driven by full alternative-fuel substitution, or aggressive, debt-financed corporate share buyback programs by the majority sponsor that further constrain tradable float.

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